

Alberta Shield Insurance Co.
1200 Jasper Avenue, Suite 400, Edmonton, AB T5J 3N4
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August 29, 2024

Sarah M. Johnson
c/o 47 Maple Cres NW
Edmonton, AB T6R 2K1

RE: NOTICE OF CLAIM ADJUSTMENT — PARTIAL SETTLEMENT OFFER

Policy No: ASI-2024-00847 | Claim No: CLM-2024-9341 | Loss Date: July 18, 2024

Dear Ms. Johnson,

Thank you for your patience during our review of the above-referenced claim. We have completed our initial assessment of the property damage at Rural Route 4, Site 12, Box 3, Lac La Biche County, Alberta, resulting from the wildfire event of July 18, 2024. This letter sets out our current settlement position and the basis for our determination.

SUMMARY OF CLAIM ASSESSMENT

Coverage	Amount Claimed	Amount Approved	Reason for Adjustment
Coverage A (Dwelling)	\$195,000	\$162,400	Depreciation applied to non-structural elements per policy ACV clause
Coverage B (Other Structures)	\$48,000	\$48,000	Approved in full
Coverage C (Personal Property)	\$80,000	\$51,200	Items without proof of ownership or receipts reduced to ACV estimate; some luxury items exceed policy sub-limits
Coverage D (Additional Living)	\$4,200	\$4,200	Approved in full to date
TOTAL	\$327,200	\$265,800	Net of \$2,500 deductible per occurrence

ITEMS NOT COVERED UNDER THIS CLAIM

Detached Shed (approx. 120 sq ft) (\$6,500 claimed): Not listed as a covered structure on your policy schedule. Only the primary dwelling and the detached garage (Coverage B) are listed.

Landscaping and Trees (\$3,200 claimed): Damage to trees, shrubs, and landscaping caused by wildfire is excluded under Section IV(c) of your policy.

Home-Based Business Equipment (\$8,400 claimed): Business property is excluded from personal property coverage. A separate commercial inland marine endorsement would be required.

YOUR OPTIONS AND NEXT STEPS

You have the following options with respect to this settlement offer:

Option 1: Accept the settlement. Sign and return the enclosed Release of All Claims form. Payment of \$265,800 CAD will be issued within 10 business days of receipt.

Option 2: Submit additional documentation. If you believe the claim reduction for personal property is incorrect, you may submit additional receipts, photographs, credit card statements, or other proof of ownership within **30 days** of this letter (by September 28, 2024). We will re-evaluate items with sufficient documentation.

Option 3: Request an independent appraisal. Under Section XI of your policy, either party may demand an independent appraisal of the loss. Each party selects a competent appraiser; the two appraisers select an umpire. The cost of the appraisal is shared equally.

Option 4: File a complaint. If you disagree with our determination, you may contact the Alberta Insurance Council (AIC) at 1-800-731-4241 or file a complaint with the General Insurance OmbudService (GIO) at 1-877-225-0446.

RESPONSE DEADLINE: Please respond to this settlement offer no later than September 28, 2024. If we do not hear from you by this date, we will follow up by registered mail. Ongoing Additional Living Expenses (Coverage D) will continue to be reimbursed on a monthly basis upon submission of receipts, up to the policy maximum of \$97,000 CAD.

We recognize this has been an extraordinarily difficult time, and we are committed to resolving your claim fairly and efficiently. Your dedicated claims adjuster, Marcus Tran, can be reached directly at (780) 555-0167 or m.tran@albertashield.ca.

Sincerely,

Marcus Tran

Senior Claims Adjuster, Property Division

Alberta Shield Insurance Co.

Enclosures: Release of All Claims Form | Proof of Loss Checklist | Appraisal Process Guide | GIO Information Sheet